

Refugees

/1979

SPECIAL STUDY - July 1979

**Indochina
Refugee
Situation**

Key Judgments

Vietnam is in effect expelling its Chinese minority, which it believes is a security threat, and many ethnic Vietnamese are fleeing economic and political hardship on their own. Approximately 173,000 refugees from Vietnam are scattered in camps throughout Asia, and another 240,000 are in China. (U)

More than 162,000 refugees from Laos and Kampuchea are in UN-sponsored camps in Thailand. Many more have not been officially counted. (U)

We expect the rate of arrival for boat people—currently averaging over 10,000 per week—to drop temporarily in coming weeks as the weather becomes less favorable for small craft. We have no evidence Vietnam is dismantling its machinery for expelling refugees. (S NF)

Because Vietnam sees the refugee problem as a security and political issue, it will resist pressure to change its policy. The Soviet Union will not prod Vietnam on this issue. (S)

The influx of refugees is causing serious problems for the members of the Association of Southeast Asian Nations (ASEAN). They are angered by Vietnam's actions, but they also believe the United States should do more to resettle the refugees. There is some potential for domestic political strife because of the refugees in Malaysia and Thailand. (U)

The ASEAN states will not accept large numbers of refugees for permanent resettlement, and we expect the pattern of resettlement to third countries to remain about the same, with the United States, Canada, Australia, and France taking the majority. (U)

China claims it has accepted 240,000 Vietnamese refugees, and more are arriving. China has tightened its admission policy in the last year. There is limited evidence that China may have helped some refugees cross into Macao and Hong Kong. China recently has approached the United Nations High Commissioner for Refugees for financial help but appears reluctant to establish a refugee-processing center in China. (S NF)

Rumors are circulating that Vietnam may send a refugee ship to a US possession or territory. We have no evidence any such attempt has been made as yet. (S NF)

Indochina Refugee Situation (U)

Discussion

The flow of refugees from Vietnam has increased markedly since January 1979, but Vietnamese are only part of the Indochina refugee picture. Lao and Hmong tribesmen are fleeing economic hardship and government persecution; Kampucheans are seeking to escape war and possible starvation; ethnic Vietnamese are running away from economic hardship and political repression, while Sino-Vietnamese, in effect, are being expelled. Most of the refugees now in Southeast Asian camps are from Laos and Kampuchea. (U)

As of 30 June 1979, approximately 146,000 Laotians and 16,000 Kampucheans were in UN-sponsored camps in Thailand.¹ Several thousand more Kampucheans, who have sought refuge in Thailand, have returned to Kampuchea either voluntarily or under duress. Many Laotian refugees are never included in the statistics; they have friends or relatives in Thailand and resettle themselves. Approximately 413,000 refugees from Vietnam are scattered throughout Asia. Some 240,000 are in southern China, and most of the rest are in camps in Hong Kong, Malaysia, and Indonesia. The weekly average rate of refugee arrivals has increased to more than eight times the rate a year ago, and departures for resettlement have fallen farther and farther behind. Conditions in the overcrowded refugee camps are grim. In some camps, shelter is minimal; sanitation and medical services are inadequate or nonexistent; and food and water supplies are tight. The probability of a serious epidemic of contagious disease is high. (U)

The flow of refugees from Laos and Kampuchea will be difficult to control.² Lowland Lao, fleeing the regime's harsh economic and political policies, and Hmong tribesmen, fleeing military operations against

them, easily cross into Thailand. The border is long and difficult for either the Lao or the Thai to patrol. The fighting in Kampuchea has also caused a marked increase recently in the number of refugees fleeing to Thailand. Wartime conditions and the nature of the border make it difficult to prevent refugees from arriving; moreover, Vietnamese forces in Kampuchea have encouraged the Heng Samrin regime to expel large numbers of Sino-Khmer. (S NF)

It is impossible to estimate how many more refugees will flee Indochina. All of Indochina's more than 1.5 million ethnic Chinese, most of whom live in Vietnam, are potential refugees, but thousands of non-Chinese residents of the three countries will also continue to leave.³ (U)

Vietnamese Government Involvement⁴

The refugees who receive most of the publicity and pose the thorniest political problems are "boat people" from Vietnam. Vietnam could greatly reduce its refugee outflow if it chose to. Some of the refugees escape on their own, but since spring 1978, the majority have been Sino-Vietnamese who have in essence been expelled by Hanoi. Vietnamese officials consider the Chinese a potential fifth column; moreover, many belong to an economic class the Communist regime seeks to eliminate. In addition, the refugees pay an exit tax in gold, which last year, according to some estimates, equaled Hanoi's known official foreign exchange holdings. Hanoi is also probably pleased that the refugee outflow causes friction between the United

¹ See appendix A for detailed statistics on refugee flow through June 1979.

² See appendix B for estimates of the number of refugees from Laos and Kampuchea through October 1979.

³ See appendix C for estimates of the number of Chinese in the States of Indochina.

⁴ For a more extensive discussion of this subject see "Vietnam's Refugee Machine," NFAC Intelligence Assessment PA M 79-10292, June 1979.

Change in Average Refugee Movement Rates

Persons Per Week

	1 Aug 77 to 31 Jan 78	1 Feb 79 to 15 Jun 79	Percent Change in Rate
All Countries of First Asylum			
Arrivals	1,120	10,606	847
Departures	485	1,933	299
Remaining	635	8,673	1,266
Thailand			
Arrivals	892	3,816	328
Departures	300	560	87
Remaining	592	3,256	450
Malaysia			
Arrivals	168	2,546	1,415
Departures	110	988	798
Remaining	58	1,559	2,588
Hong Kong			
Arrivals	16	2,450	15,213
Departures	12	164	1,267
Remaining	4	2,285	57,025
Others			
Arrivals	44	1,794	3,977
Departures	63	221	251
Remaining	-19 ^a	1,573	8,279

^a Represents refugees in other countries of first asylum prior to 1 August 1977 who were apparently transferred to Hong Kong, Malaysia, or Thailand.

This table is Unclassified

States and members of the Association of Southeast Asian Nations (ASEAN)—Singapore, Thailand, Malaysia, Indonesia, and the Philippines—as well as among the ASEAN states themselves. (U)

Vietnam has created an elaborate but efficient machinery to process refugees. The Politburo oversees the program, and the Public Security Bureau—the political police—carries it out. Internal policies that discriminated against Sino-Vietnamese began in the

spring of 1978, and many were given the choice of moving to primitive New Economic Zones or leaving the country. Those who choose to leave often deal with a middleman who in turn deals with the Public Security Bureau. Vietnamese officials certify the passenger list for each boat, collect an exit fee, and set the date of departure. The middleman, who is often a Chinese businessman, arranges for the boat, enlists the passengers, and collects the passage money. Many middlemen arrange for a number of boats before leaving themselves. (U)

The Question of Leverage

Because Hanoi sees the refugee problem as a security and political issue, Vietnam thus far has vigorously resisted pressure to change its policy. Vietnam's leaders seem united on refugee policy. (U)

Although the Soviet Union today has more influence with Vietnam than any other state, even Moscow is quite limited in its capacity to change Vietnam's policy. Hanoi has often resisted Soviet desires on other issues. In any event, Moscow will almost certainly not risk its political capital by attempting to prod Hanoi to change its policy. Soviet propaganda firmly supports Vietnam on the refugee issue, and the Soviets have told Western officials that they consider it a Vietnamese matter and will not get involved. (S)

It would be difficult for the West to impose meaningful economic sanctions on Vietnam. Less than 20 percent of Hanoi's aid comes from non-Communist sources, and much of it is project aid, the loss of which would have little immediate economic impact. Withdrawal of aid by important industrialized countries such as Japan, however, would be a diplomatic setback for Hanoi and further tarnish its international image. (U)

Vietnam has grown more sensitive to international criticism on the refugee issue, but it has done virtually nothing to discourage the outflow of refugees. Hanoi argues that US and Chinese "aggression" has created the problem and that Washington and Beijing must

**Distribution of Refugees Among Countries
of First Asylum (1 August 1977 - 15 June 1979)**

	All Countries	Thailand	Malaysia	Hong Kong	Others
Arrivals	396,333 *	170,551 *	116,352	59,060	50,370
	(100%)	(43.0%)	(29.4%)	(14.9%)	(12.7%)
Departures	105,627	46,533	42,137	5,780	11,177
	(100%)	(44.0%)	(39.9%)	(5.5%)	(10.6%)
Remaining	290,706	124,018	74,215	53,280	39,193
	(100%)	(42.7%)	(25.5%)	(18.3%)	(13.5%)

* Includes 49,000 unregistered Khmer refugees in Thailand out of the 89,000 who entered the country in May 1979. The Thai Government has forcibly repatriated 40,000 of the 89,000 refugees to Kampuchea.

This table is Unclassified.

take responsibility for finding a solution. Hanoi may decide at some point to underscore this point by sending a boatload of refugees to a US possession or territory. Rumors of a plan to do so have surfaced periodically, but we know of no actual attempt. The option could, however, be exercised at any time. (S NF)

The rate of arrival of boat people will probably decline in the weeks ahead; the seas are rougher and fewer boats will complete the journey.¹ Some reporting suggests a boat shortage in Vietnam that will also reduce the flow of refugees. The decline is likely to be temporary, however, as Hanoi is determined to rid itself of "subversive" and "unproductive" elements. Moreover, we have no evidence that Hanoi has dismantled its machinery for expelling refugees, despite assurances to the contrary. (S NF)

Hanoi may be willing to release the refugees in a more orderly manner. It has offered to discuss "exit procedures" with the countries of first asylum, but it has not indicated as yet that it is willing to discuss restrictions on total outflow. (S NF)

¹ See appendix D for projected refugee flow through December 1979.

Impact on First Asylum Countries

Most of the refugees flee to non-Communist Southeast Asian states or to Hong Kong. All of the Southeast Asian countries of first asylum are members of ASEAN. The final communique from their foreign ministers' meeting in Bali in late June strongly condemned Vietnam for dumping its unwanted people on its neighbors. The refugee problem has created tension within ASEAN. Those states that are less affected are more concerned about continuing to keep refugees out than about helping their neighbors to deal with the problem. (S)

The refugee problem has also created difficulties between ASEAN and the United States. Member states are annoyed by American criticism of their refusal to accept more refugees. Some believe that it was Washington's Indochina policy that created the conditions responsible for the refugee exodus, and all believe the United States should accept the major burden of resettling all the refugees. (U)

**Refugees Arriving in, Departing From,
and Remaining in Countries of First Asylum**

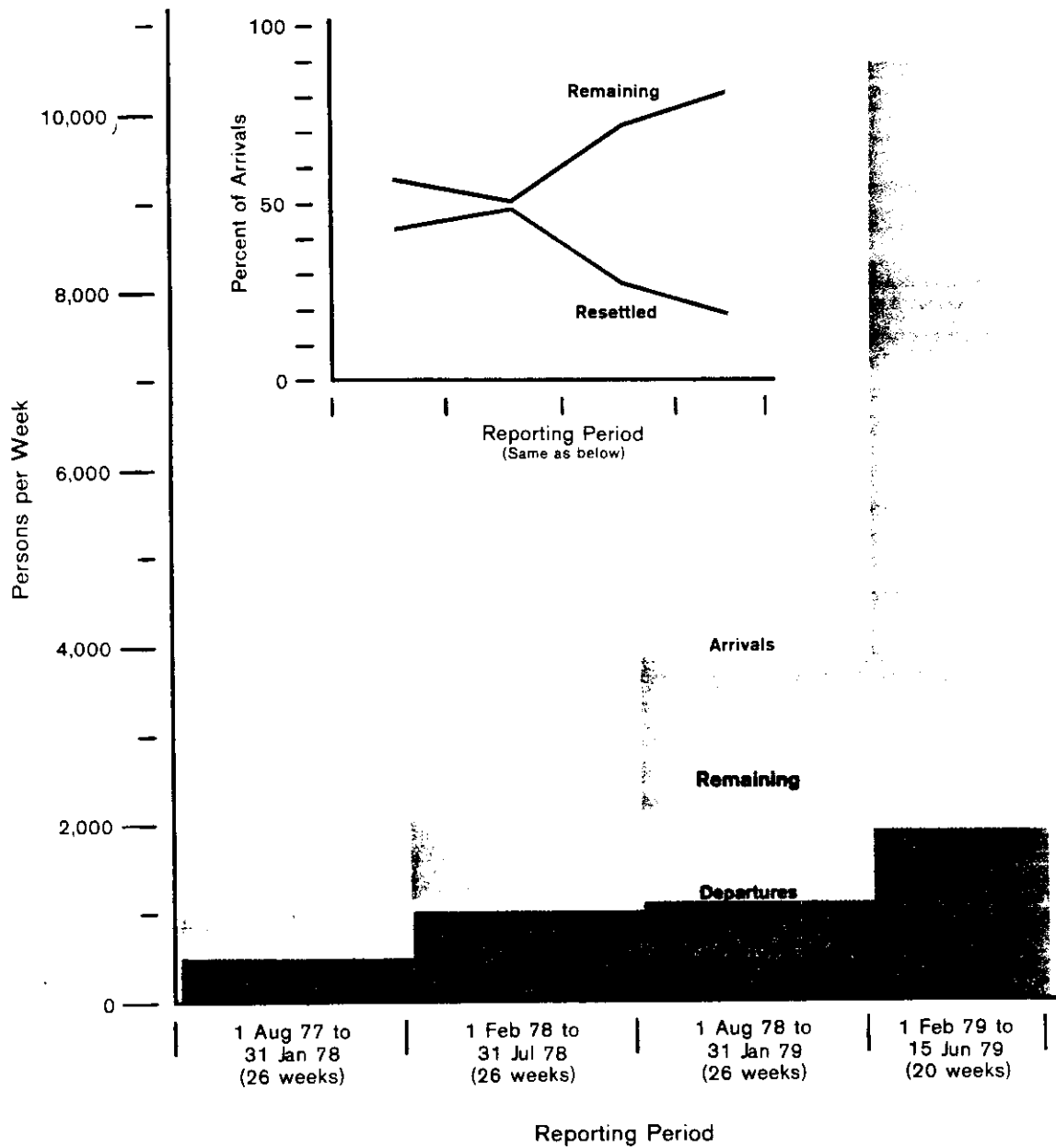
	All Countries		Thailand		Malaysia		Hong Kong		Other	
	Persons	Weekly Average	Persons	Weekly Average	Persons	Weekly Average	Persons	Weekly Average	Persons	Weekly Average
1 August 1977-15 June 1979 (98 weeks)										
Arrivals	396,333 ¹	(4,044)	170,551 ¹	(1,740)	116,352	(1,187)	59,060	(603)	50,370	(514)
Departures	105,627	(1,078)	46,533	(475)	42,137	(430)	5,780	(59)	11,177	(114)
Remaining	290,706	(2,966)	124,018	(1,265)	74,215	(757)	53,280	(544)	39,193	(400)
1 August 1977-31 January 1978 (26 weeks)										
Arrivals	29,114	(1,120)	23,190	(892)	4,364	(168)	427	(16)	1,133	(44)
Departures	12,602	(485)	7,803	(300)	2,860	(110)	314	(12)	1,625	(63)
Remaining	16,512	(635)	15,387	(592)	1,504	(58)	113	(4)	- 492 ²	(- 19) ²
1 February 1978-31 July 1978 (26 weeks)										
Arrivals	53,554	(2,060)	31,558	(1,214)	15,629	(601)	2,239	(86)	4,128	(159)
Departures	26,450	(1,017)	17,891	(688)	6,323	(243)	332	(13)	1,904	(73)
Remaining	27,104	(1,043)	13,667	(526)	9,306	(358)	1,907	(73)	2,224	(86)
1 August 1978-31 January 1979 (26 weeks)										
Arrivals	101,543	(3,906)	39,485	(1,519)	45,434	(1,747)	7,399	(285)	9,225	(355)
Departures	27,914	(1,074)	9,640	(371)	13,201	(508)	1,843	(71)	3,230	(124)
Remaining	73,629	(2,832)	29,845	(1,148)	32,233	(1,240)	5,556	(214)	5,995	(230)
1 February 1979-15 June 1979 (20 weeks)										
Arrivals	212,122 ¹	(10,606)	76,318 ¹	(3,816)	50,925	(2,546)	48,995	(2,450)	35,884	(1,794)
Departures	38,661	(1,933)	11,199	(560)	19,753	(988)	3,291	(164)	4,418	(221)
Remaining	173,461	(8,673)	65,119	(3,256)	31,172	(1,559)	45,704	(2,285)	31,466	(1,573)

¹ Includes 49,000 unregistered Khmer refugees in Thailand out of the 89,000 who entered the country in May 1979. The Thai Government has forcibly repatriated 40,000 of the 89,000 refugees to Kampuchea.

² Represents refugees in other countries of first asylum prior to 1 August 1977 who were apparently transferred to Hong Kong, Malaysia, or Thailand.

This table is Unclassified.

Southeast Asian Refugees All Countries of First Asylum



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The refugee problem threatens to cause political difficulties within some of the ASEAN states. The domestic political impact of the refugees is greatest in Malaysia and Thailand, which bear the brunt of the refugee influx. Large numbers of Vietnamese refugees that Malaysia has turned away have recently entered Indonesia, but most of them are kept on small, largely uninhabited islands in the South China Sea, where they are isolated from public attention. (See appendix fold-out map.) Relatively few refugees have reached the Philippines, and Singapore continues to prevent refugees from landing. (U)

In both Malaysia and Thailand, the refugees have become a political issue. Thai officials are worried that the students, always a volatile political group in Bangkok, could use anti-refugee sentiment to create a more general antigovernment movement. Prime Minister Kriangsak's recent decision to forcibly repatriate Kampuchean refugees was made largely because of his concern that opposition politicians might exploit anti-refugee sentiment against his relatively weak government. (S, N)

The Thais are also concerned about the potential problem posed by the thousands of refugees from Laos now in camps in the north and northeast. This area of Thailand is economically depressed and suffers from armed insurgency. The government fears that assistance to the refugees could arouse antagonism among the local inhabitants, who feel neglected by Bangkok, though local Thai merchants obviously profit from support operations for the camps. (U)

The situation in Malaysia is more explosive. The majority of Vietnamese refugees who have arrived recently are ethnic Chinese. Malaysia has a long history of antagonism between its Chinese and Malay communities, and Malaysian leaders fear that an incident at a refugee camp could spark racial violence within Malaysia. The refugees, moreover, are concentrated on Malaysia's east coast, an area of Malay poverty and Muslim orthodoxy where anti-Chinese passions are strong. Adding to the ethnic problem is a thriving black market, manipulated by Chinese traders, that has sprung up near refugee camps and has caused a sharp rise in the prices of staples needed by

local Malays. The nationalistic youth wing of the ruling Malay party and the opposition Islamic party are already exploiting the refugee issue to criticize the government's pragmatic and moderate racial policies; this could force the government into a stronger pro-Malay-Muslim stance that would further damage race relations. (U)

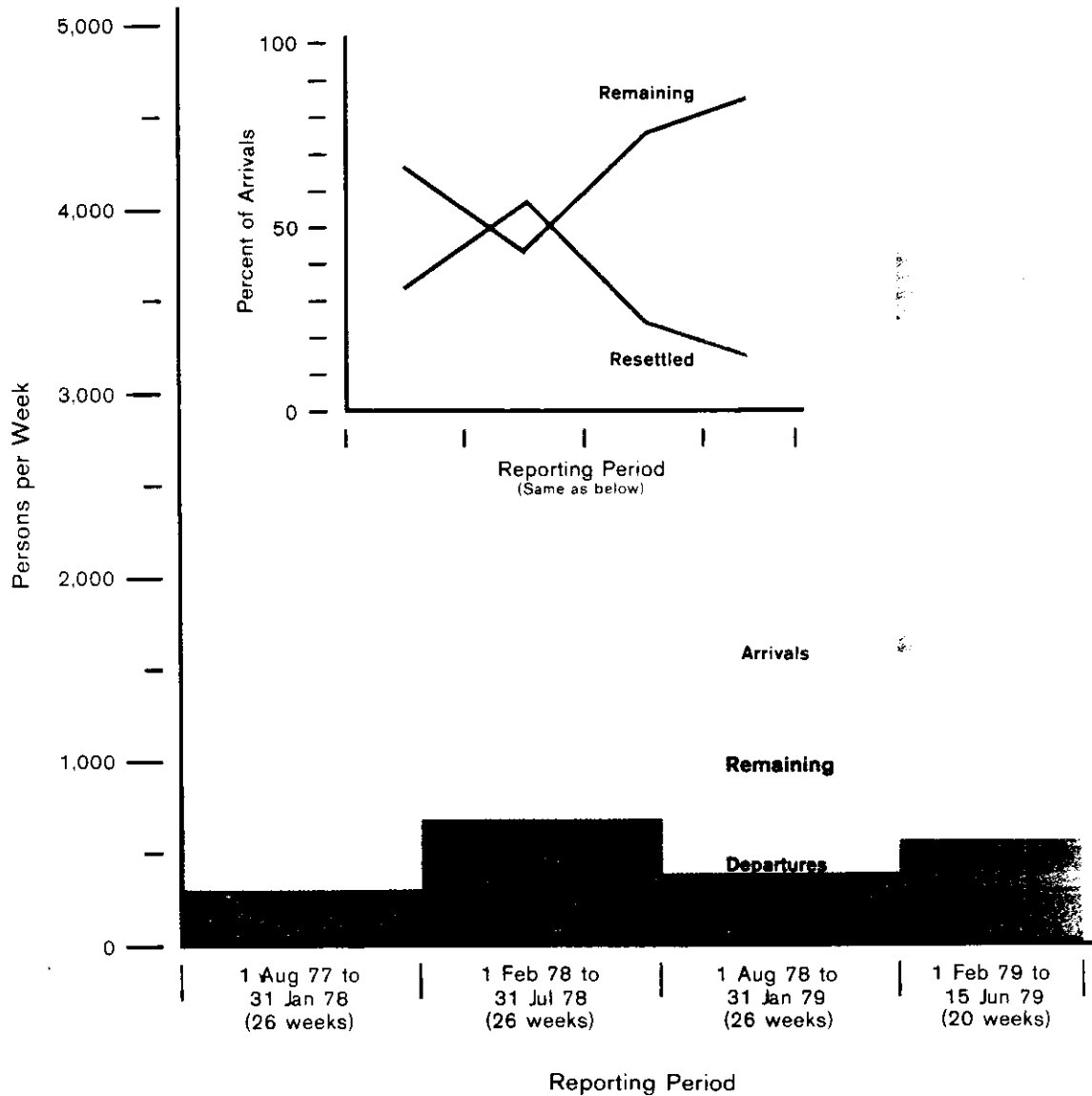
Resettlement Factor

The intensity of the political problems posed by the refugees will depend largely on whether the governments concerned can assure their people that the situation is temporary, that the refugees will be speedily resettled elsewhere, and that there will be no residual communities in countries of first asylum. At present refugees are arriving much faster than they can be resettled, and first-asylum countries fear that resettlement in third countries will be unable to keep pace and will never include all refugees. This combination of concerns—along with apprehension that Western governments, particularly the United States, may not relieve them of the problem—led ASEAN states to announce recently that they would refuse to admit any more refugees. While all the states realize that their ability to prevent refugees from arriving is limited, they will continue to deport those they can find. (U)

No country of first asylum will accept large numbers of refugees for permanent resettlement. Malaysia has taken several groups of Kampuchean Muslims, and Thailand may eventually agree to resettle some of the Lao and possibly a limited number of Kampuchean refugees. But no ASEAN state will accept for resettlement any of the Vietnamese refugees, whether Sino-Vietnamese or ethnic Vietnamese. (U)

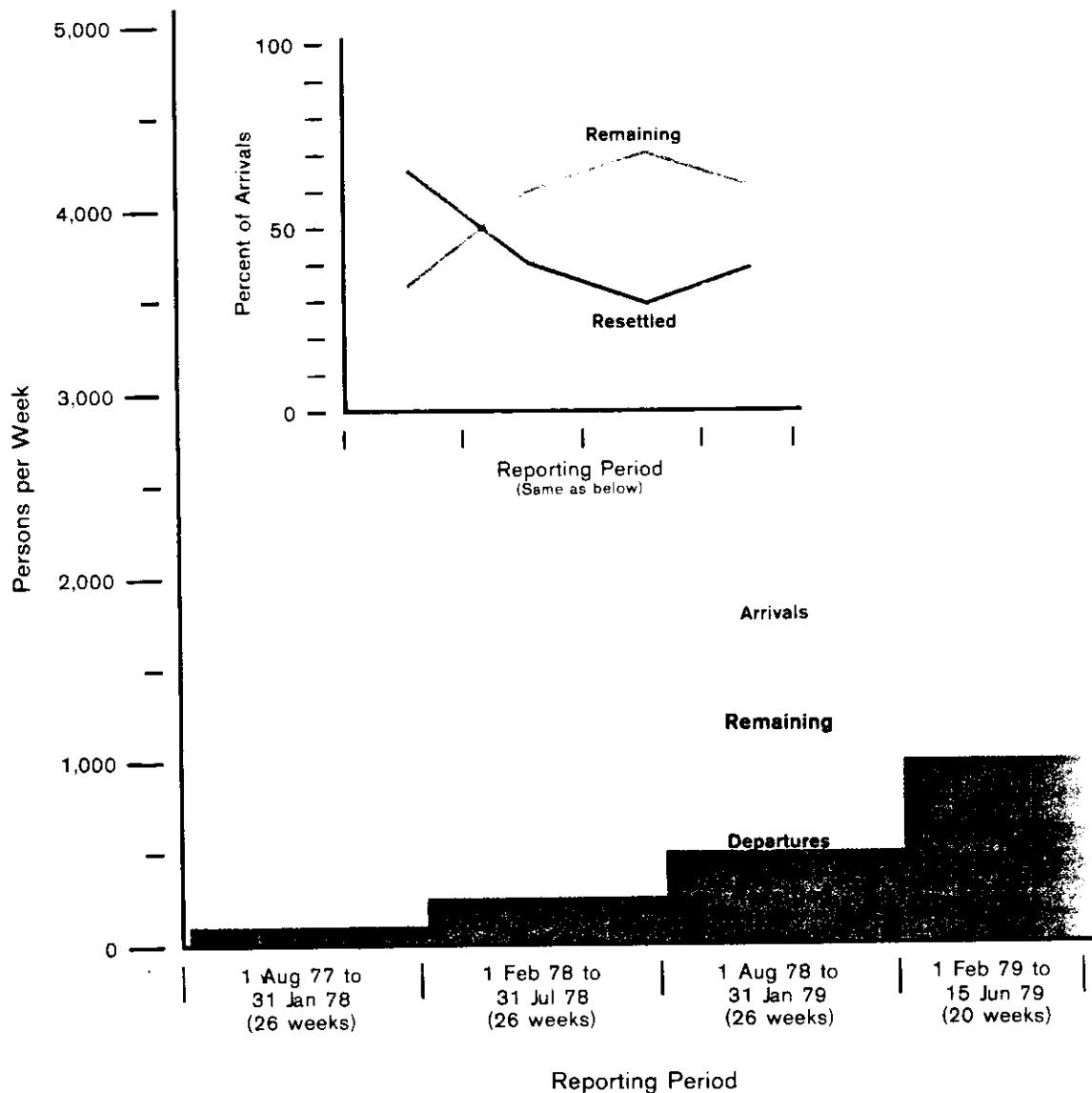
The pattern of third-country resettlement will probably remain about as it is now, with the United States, Canada, Australia, and France taking the bulk of the refugees and with other countries accepting token numbers. Japan is unlikely to accept more than a handful, if that, but it has decided to increase significantly its financial assistance for processing and resettlement programs. (U)

Southeast Asian Refugees Thailand



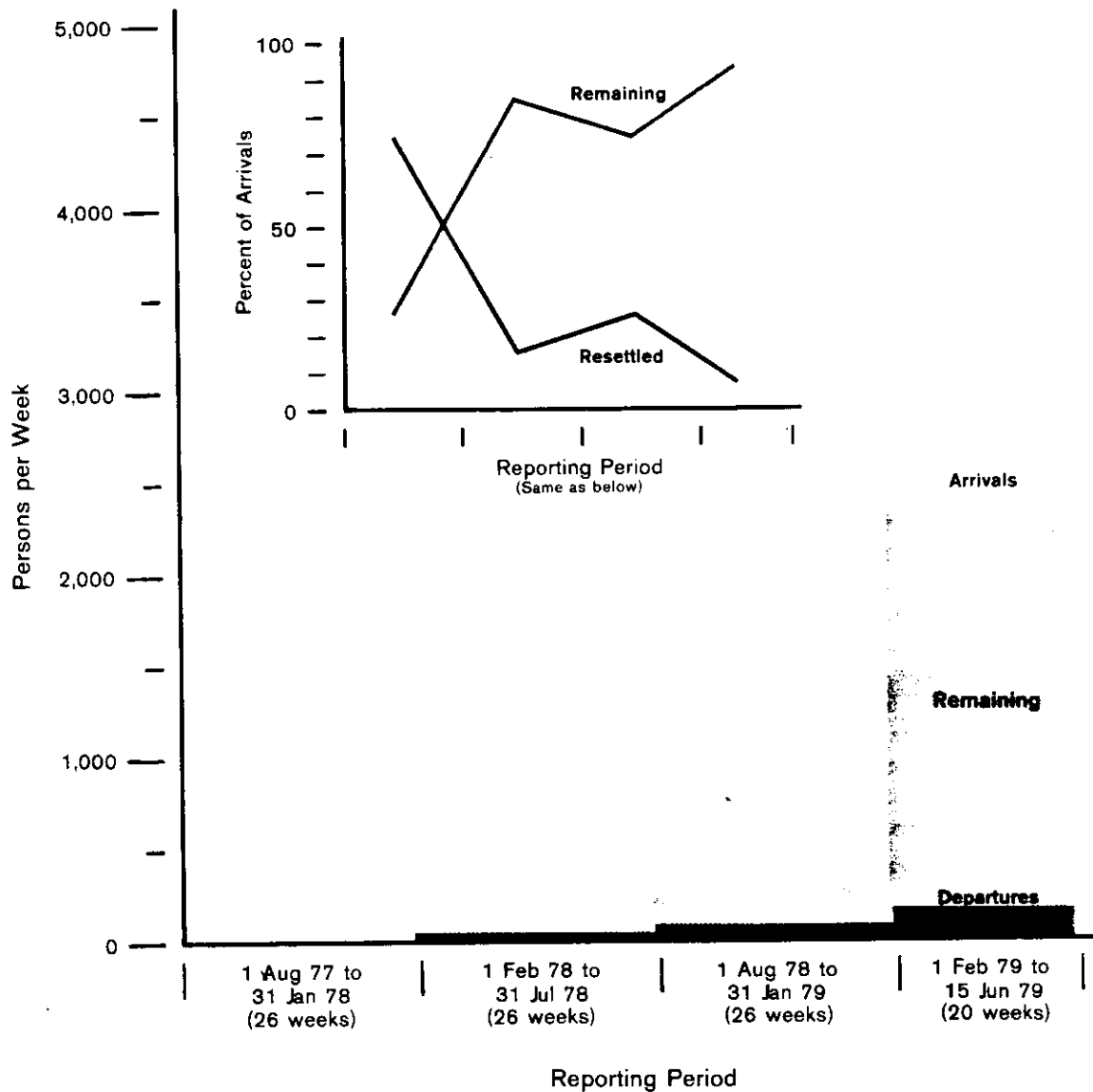
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Southeast Asian Refugees Malaysia



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Southeast Asian Refugees Hong Kong



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China's Attitude

Beijing now claims that some 240,000 refugees from Vietnam have entered China since early 1978 and that about 10,000 a month are continuing to arrive. We cannot confirm the Chinese figures nor do we know the breakdown between ethnic Chinese, ethnic Vietnamese, and minority people. The ethnic Chinese are by far the largest category. The flow of ethnic Chinese has probably declined over the last year, however, because of China's current inhospitality and the preferred destinations of the boat people. (U)

China's policy toward refugees from Vietnam hardened during 1978. Beijing initially accepted approximately 160,000 refugees, who crossed into China after Vietnam decided to force out its ethnic Chinese minority. The refugees were given assistance and subsidies for their maintenance, which the Chinese now claim totals over \$350 million. Most refugees who entered China were assigned to state farms for overseas Chinese in South China. By mid-July 1978, however, Sino-Vietnamese relations had deteriorated and the burden of refugees had become so great that Beijing closed the border and began—without success—to insist that Vietnam take back most of the refugees. As Sino-Vietnamese tensions escalated, movement of ethnic Chinese overland into China slowed, but Beijing claims 10,000 per month are still being forced across the border. An unknown number of minority peoples in the border areas of Vietnam—and perhaps Laos as well—may have crossed into China, however, and may be counted by Beijing as refugees. (U)

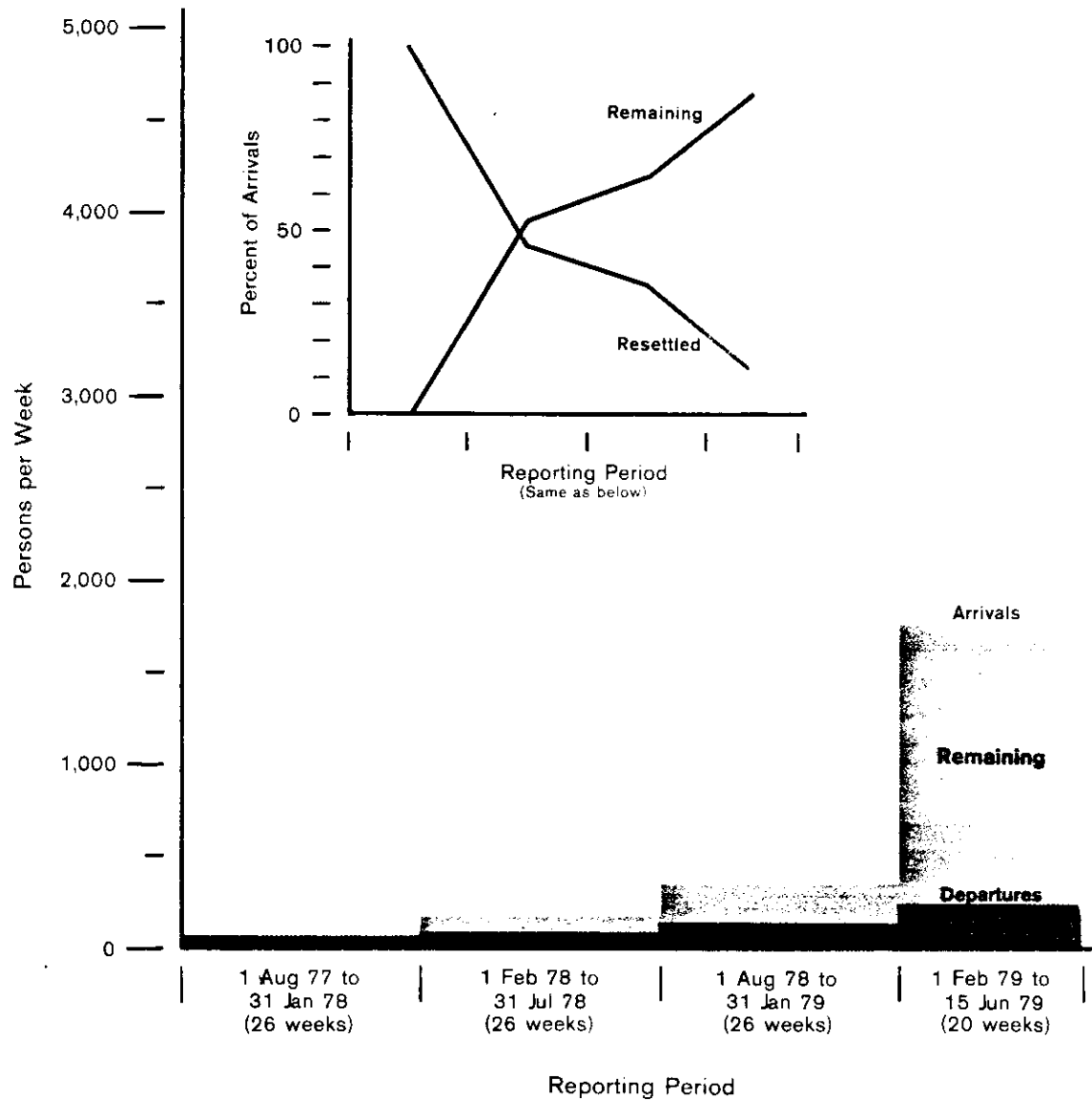
Of the initial 160,000, only about 10,000—Sino-Vietnamese fishermen from the Haiphong area—went to China by sea and stayed. Other boat refugees who stopped at Chinese ports en route to Hong Kong during this period were given the option of resettling in China. In the past year, however, China has been increasingly reluctant to accept boat refugees. Recent boat refugees arriving in Hong Kong have said that they were given fuel and water at Chinese ports along the way but usually were not permitted to come ashore. (S NF)

There are also some indications—difficult to verify or quantify—that China is quietly facilitating the travel to Hong Kong or Macao of some Vietnamese refugees who had been resettled in China. Many refugees reportedly looked on China only as a way station to Hong Kong; others quickly tired of the hard life in overseas Chinese farms and wanted out. There was also one report that Vietnamese refugees in China were being assisted by Chinese officials to enter Hong Kong disguised as new boat refugees direct from Vietnam. (S NF)

Beijing's reluctance to accept additional refugees has not kept it from exploiting the issue. In mid-June 1979, the Chinese Foreign Ministry issued a statement strongly protesting Vietnam's "barbaric" treatment of the refugees. It also played up Beijing's efforts on behalf of the refugees, including the "big drain" on China's resources, and made clear that China was unable to resettle any more. At about the same time, Beijing refused a Thai request to resettle 9,000 ethnic Chinese refugees from Kampuchea. (S NF)

Until June, China refused to take part in UN refugee efforts and turned aside US requests that it accept more refugees. China now has approached the UN High Commissioner for Refugees (UNHCR) for financial help, but it has not been forthcoming on the proposal that it establish a refugee-processing center in China. Such a refugee center would present problems for the Chinese, however, because they would see it as taking some of the pressure off Vietnam and thus actually encouraging Hanoi to continue its harsh policy. The Chinese indicated to the UNHCR that a center could create problems among the refugees already settled in China. China will probably seek the onward movement of perhaps 30,000 of the refugees now in China who have resisted permanent resettlement there. (S NF)

Southeast Asian Refugees Other Countries of First Asylum



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China's future actions will be shaped by its view of the refugee question as a political issue, an aspect of its bitter confrontation with Vietnam. China will apparently attend the Geneva conference, where it will seek every opportunity to put Vietnam "in the dock." It will push strongly for a UN Security Council meeting to discuss political and security aspects of the refugee situation. China hopes to gain political capital from the issue, especially in its relations with the ASEAN states and the nonaligned movement. Its willingness to cooperate with others on providing assistance to refugees will be determined largely by the extent to which this aid would advance its political objectives.
(S NF)

Appendix A Refugee Flow

In the period from 1 August 1977 through 15 June 1979 (98 weeks), nearly 400,000 refugees arrived in Asian countries of first asylum—primarily Thailand, Malaysia, and Hong Kong.* The rate of arrival averaged 4,044 persons per week, but the rate of departure for resettlement countries averaged only 1,078 persons per week. As a result of the disparity between arrival and departure rates, the refugee population in countries of first asylum grew at an average rate of 2,966 persons per week. As of 15 June 1979, the countries of first asylum contained a total of 290,706 refugees awaiting processing and resettlement. (U)

Thailand, Malaysia, and Hong Kong have together received 346,000 refugees, or 87.3 percent of all arrivals in countries of first asylum. The refugees are not, however, evenly distributed among these countries. Thailand has received both the largest number of refugees (170,551) and the largest proportion (43 percent) of the refugee arrivals. Thailand has also accumulated the largest population of refugees awaiting processing and resettlement—124,018 persons, or 42.7 percent of the total. Malaysia has received almost 30 percent of the arrivals (116,352 persons) and held 25.5 percent of the people awaiting resettlement as of 15 June 1979. Hong Kong has received 15 percent of the arrivals (59,060 persons) and holds 18.3 percent of the people awaiting resettlement. Other countries of first asylum (Indonesia, the Philippines, Macao, Singapore, Japan, Korea, Taiwan, India, and Australia) have received and currently hold approximately 13 percent of the arrivals and population awaiting resettlement. (U)

* This figure includes 49,000 unregistered Khmer refugees in Thailand out of the 89,000 who entered the country in May 1979. The Thai Government has forcibly repatriated 40,000 of the 89,000 refugees to Kampuchea.

The rates at which refugees arrived in countries of first asylum, departed for resettlement countries, and were added to refugee populations remaining in holding areas increased dramatically during the period between 1 August 1977 and 15 June 1979. The average weekly rate of arrival in countries of first asylum increased 847 percent, but the rate of departure for resettlement countries rose only 299 percent. The failure of departures to keep pace with arrivals meant a 1,266-percent increase in the rate at which additions to holding-area populations accrued. The rates in individual countries of first asylum have varied considerably but indicate a problem common to all of them—mushrooming refugee populations that must be provided with basic necessities. (U)

Appendix B

Estimated numbers of refugees (Lao, Hmong, Khmer, ethnic Chinese) from Laos and Kampuchea reaching Thai inland camps, July-October 1979

July	6,500-7,500
August	6,600-7,700
September	6,600-7,900
October	6,500-7,900

This appendix is Unclassified.

Appendix C

Estimated numbers of Ethnic Chinese remaining in Indochinese countries as of 30 June 1979

	Best Approximation	Range of Estimate
Northern Vietnam	36,000	35,000-37,000
Southern Vietnam	1,114,400	1,050,000-1,150,000
Kampuchea	325,000	275,000-350,000
Laos	70,000	50,000-90,000
Total	1,545	1,410,000-1,617,000

This appendix is Unclassified.

Appendix D

Projected Flow of Boat Refugees per Month From Vietnam, July-December 1979 In Thousands

These numbers represent an estimate of possible flow projected from current rates. Actual arrivals over the next six months will be greatly affected by both weather conditions in the South China Sea and political decisions in Hanoi.

If Vietnam Continues Its Present Policy

	Low	Probable	High
July	30	36	42
August	31	35	41
September	36	41	46
October	45	49	54
November	50	70	90
December	46	50	55

If Vietnam Takes Some Steps To Reduce the Flow

	Low	Probable	High
July	29	30	31
August	27	29	30
September	24	27	28
October	20	24	26
November	16	22	24
December	10	20	22

If Vietnam Stops Assisting Refugees to Leave and Actively Attempts to Prevent Departures (In Effect, a Return to the Rates of Two Years Ago)

July	29
August	24
September	17
October	12
November	7
December	3

This appendix is Unclassified.